



CONSTRUCTION LOAN

Institutional Private Lending — New Construction & Major Renovations — Quebec & Ontario

FILE NO.	_____
BORROWER	_____
PROJECT	_____
AMOUNT	_____
ISSUE DATE	_____
VALIDITY	30 days from date of issuance

Structured Capital. Controlled Ambition.

CONFIDENTIAL — This document is a conditional financing offer.

The French version shall prevail in Quebec / La version française prévaut au Québec

**1. IDENTIFICATION OF PARTIES****Lender:**Capital Norvex Inc.**Representative:**

Borrower (legal name):

Business No. (BN):

Borrower Address:

Guarantor(s):

2. PROJECT DESCRIPTION**Project Address:**

Municipality / RCM:

Development Type:e.g.: Condos, plex, commercial...**Number of Units:**

Total Area:

Applicable Zoning:

General Contractor:

Architect / Engineer:

Expected Start Date:

Construction Duration: months**3. FINANCIAL TERMS**

Parameter	Value	Notes
Maximum Authorized Amount	\$ _____ CAD	Subject to conditions
Initial Term	_____ months	Extension at Lender's discretion
Annual Interest Rate	_____ % (fixed)	Calculated daily
Origination Fee	3% to 3.5% of amount	Payable at first advance
Renewal Fee	_____ %	If applicable
Analysis Fee (term extension)	1% of principal	If extension beyond Maturity Date (renegotiable)
Prepayment Penalty	Min. 3 months interest	At any time
Target Maximum LTV	_____ %	On approved value — flexibility with collateral



Target Maximum LTC	_____ %	On total approved cost — flexibility with collateral
Construction Holdback	5% per disbursement	Released 35 days after substantial completion

4. DISBURSEMENT TERMS

Funds will be advanced progressively on a monthly basis based on construction progress, validated by an inspector mandated by Capital Norvex. Each draw request must include:

- Approved independent inspection report
- Certified cost-to-date statement (CCC)
- Partial and final lien waivers from subcontractors
- Professional certificate from architect or engineer

5. REQUIRED SECURITY

Security	Rank / Details
Real estate mortgage	1st rank on property and improvements
Assignment of leases	Total and immediate
Personal guarantee	Joint, irrevocable and unlimited
All-risk construction insurance	Amount = project value + 10%
Civil liability insurance	Minimum \$5,000,000

6. CONDITIONS PRECEDENT TO FIRST DISBURSEMENT

- Constitutional documents and resolutions authorizing the loan
- Proof of injected equity contribution
- Detailed final budget and approved construction schedule
- Plans and specifications signed and sealed by professionals
- General contractor agreement approved by Capital Norvex
- Valid and current building permits
- Approved independent appraisal report
- Phase I environmental report (Phase II if required)
- Registration of first-rank mortgage
- Complete legal opinion accepted by Capital Norvex

7. ZERO TOLERANCE — TAXES AND LEGAL HYPOTHECS



The Borrower undertakes to settle or have any legal hypothec of construction (art. 2724 and 2726 C.C.Q.) discharged immediately, and at the latest within seven (7) days of notice from the Lender. Any delay in payment of property taxes, school taxes, municipal charges, insurance premiums or other current obligations must be remedied within seven (7) days of notice from the Lender. Failing this, an Event of Default shall be automatically declared.

8. REPRESENTATION OF CAPITAL NORVEX INC.

For Capital Norvex Inc., the loan agreement and the mortgage deed shall be signed by a designated representative, duly authorized pursuant to a corporate resolution adopted by the sole shareholder and president, Mrs. Suzanne Breton, a certified true copy of which shall be attached to the file.

9. INDISSOCIABILITY — LOAN AGREEMENT AND MORTGAGE DEED

The loan agreement and the mortgage deed entered into between the Parties form an INDISSOCIABLE contractual whole. Any breach of the terms of the loan agreement automatically constitutes an Event of Default within the meaning of the mortgage deed, and vice versa. In the event of any divergence or ambiguity, the interpretation most favourable to the Lender shall prevail.

10. VALIDITY AND GENERAL CONDITIONS

This commitment letter is valid for a period of 30 days following the date of issuance. Capital Norvex reserves the right to revise the conditions or withdraw the offer without notice beyond this period.

- Does not constitute an irrevocable commitment prior to the signing of the loan agreement.
- Capital Norvex may require any additional document, security or information.
- Any modification must be confirmed in writing by Capital Norvex.
- LTV/LTC ratios are targets, adjustable on a case-by-case basis with acceptable collateral (up to 95% LTV).

CAPITAL NORVEX DIGITAL TOOLS

Upon authorization of the financing, the Borrower benefits from Capital Norvex's proprietary technology tools:

- **Borrower Portal (PWA — Progressive Web Application):** secure web application accessible **24/7** from any device. Allows real-time consultation of the Loan balance, payment schedule, transaction history, disbursement status and any document relevant to the file.
- **Norvex Track™:** progressive disbursement management and traceability module, accessible **24/7**. Every disbursement request is submitted and documented through Norvex Track™ (inspection reports, invoices, progress photos, professional certificates, lien waivers). Capital Norvex retains absolute, exclusive and discretionary control over disbursement authorizations.

These tools constitute a transparency commitment from Capital Norvex toward the Borrower and do not replace the official written communications provided for in the definitive Loan Agreement.

**ACCEPTANCE AND SIGNATURES**

The undersigned declare having read, understood and accepted all conditions of this commitment letter and undertake to provide all required documents in connection with the conclusion of the definitive loan agreement with Capital Norvex Inc.

LENDER — CAPITAL NORVEX INC.

Authorized Representative :

Title :

Signature : _____ Date : _____

BORROWER

Corporate Name :

Authorized Representative :

Title :

Signature : _____ Date : _____

GUARANTOR 1

Full Name :

Signature : _____ Date : _____

GUARANTOR 2 (if applicable)

Full Name :

Signature : _____ Date : _____



Capital Norvex Inc. | capitalnorvex.com | info@capitalnorvex.com | Quebec & Ontario, Canada

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